

Canara Bank | Financials | FY 2024-03

CANBK | Nifty 100 Investment Tearsheet

110,519

Revenue (Rs Cr)

15,401

Net Profit (Rs Cr)

41.8

Operating Margin (%)

16.7

Return on Equity (%)

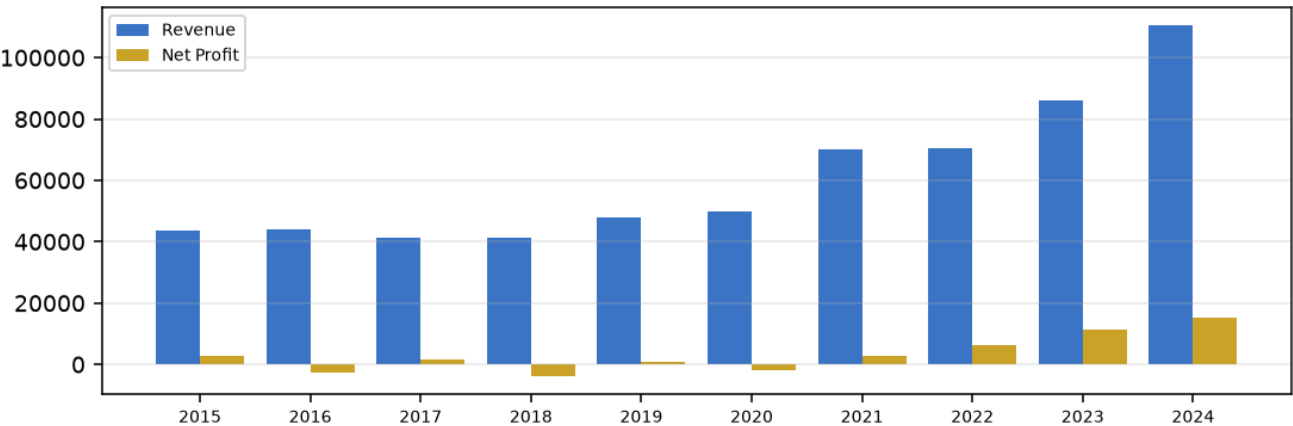
3.2

Return on Capital (%)

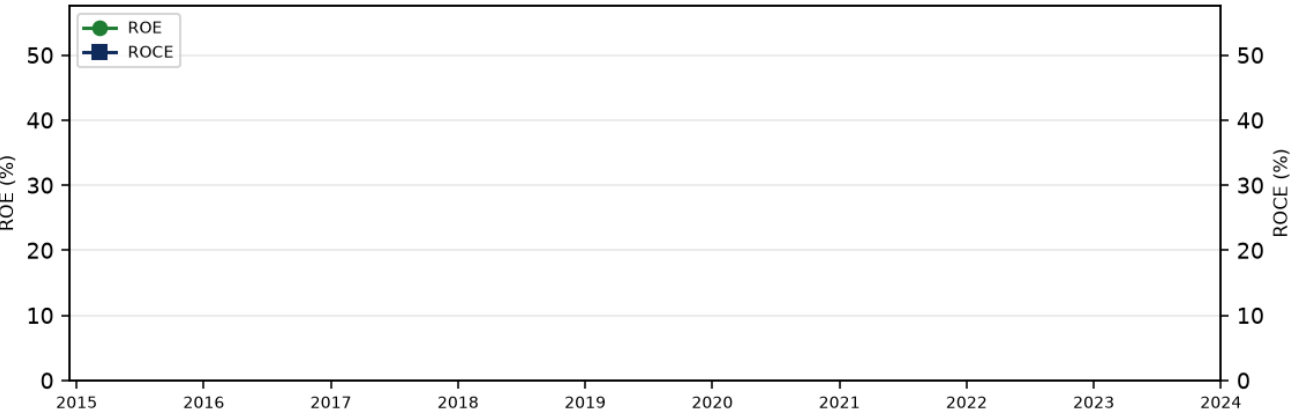
14.87

Debt / Equity

10-Year Revenue vs Net Profit (Rs Cr)

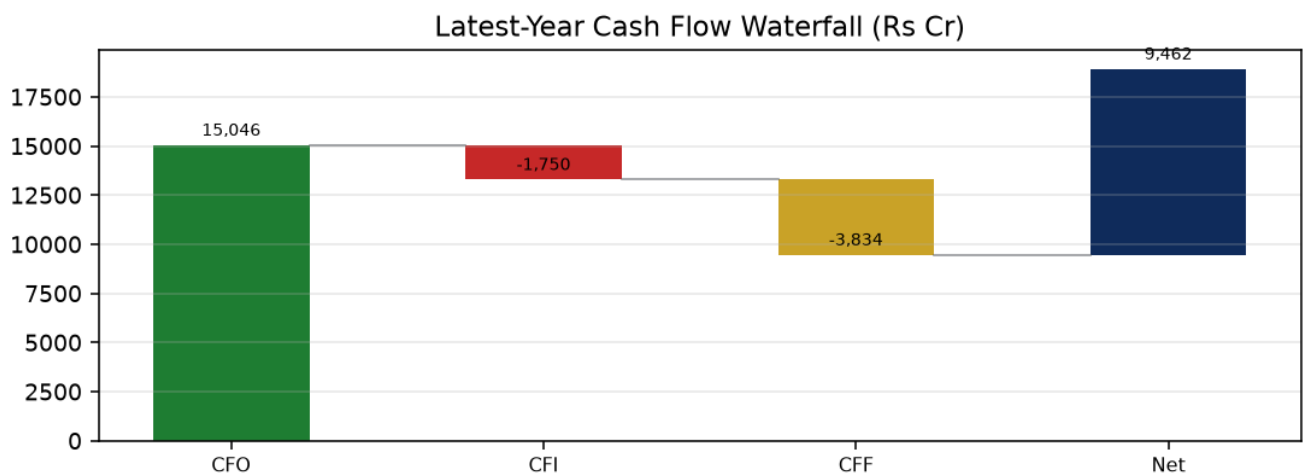
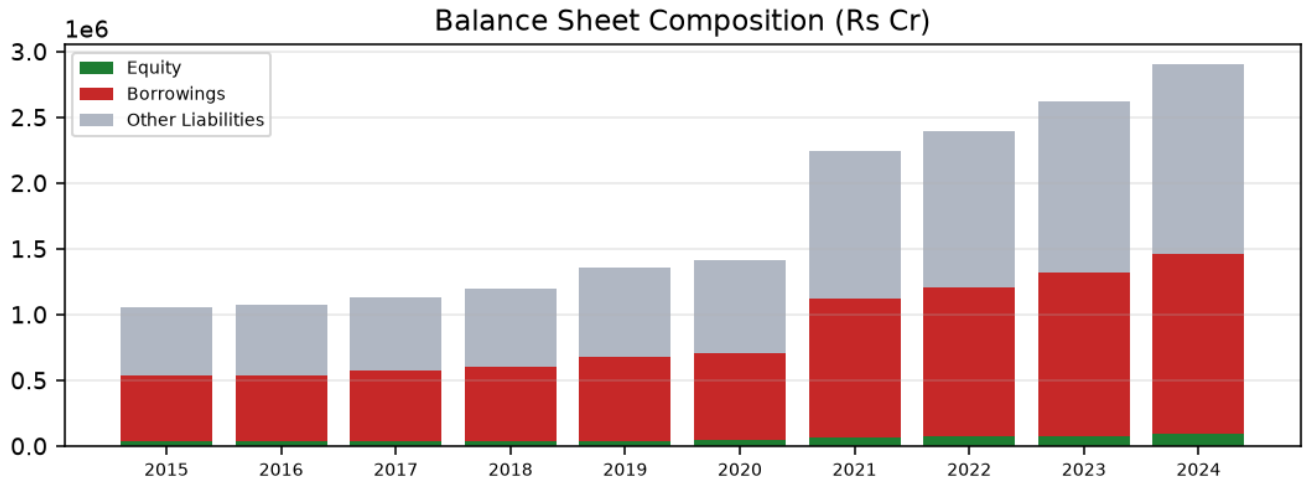


Return on Equity vs Return on Capital



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Pros

- Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Consistent dividend yield above 2% backed by positive free cash flow
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Return on equity improving for 3 consecutive years shows strengthening business quality

Cons

- Operating margins declining for 3 consecutive years suggest pricing or cost pressure
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- Net debt of 970573 cr exceeding 3 times EBITDA (20.63x) limits financial flexibility

Capital Allocation: Reinvestor